5.1

Business Finance

Cambridge IGCSE Business

- Why Finance Needed
- Working Capital
- Short vs Long-term
- Internal Sources
- External Sources
- Choosing Finance

Business Finance

Every business needs finance to start, operate and grow. Understanding WHERE to get money from and HOW to choose the right source is a core exam skill.

- Explain the main reasons why businesses need finance
- Distinguish internal from external sources of finance
- Evaluate advantages and disadvantages of each source
- Recommend and justify a source of finance for a given situation

Why Businesses Need Finance

Start-up · Working capital · Growth · Technology · Asset replacement

Why Businesses Need Finance

Finance is the money a business needs to start, run and expand. Without finance, even the best business idea cannot get off the ground.

Why Businesses Need Finance

Start-up Capital
Money to set up before any revenue arrives: premises, equipment, stock, licences, marketing

Expansion / Growth
Opening new branches, entering new markets, acquiring other businesses or launching new products

Replace Assets
Worn-out machinery, vehicles or technology needs replacing to maintain production capacity

New Technology
Invest in automation, software or equipment to improve efficiency and stay competitive

Working Capital
Day-to-day cash to pay wages, suppliers and bills while waiting for customers to pay

Short-term vs Long-term Finance Needs

⏱ SHORT-TERM (under 1 year)

Purpose:	Day-to-day running costs, bridging gaps in cash flow
Sources:	Bank overdraft · trade credit · working capital
Example:	Retailer uses overdraft to pay wages before Christmas stock sells
Key point:	Flexible but expensive — interest charged on amount used

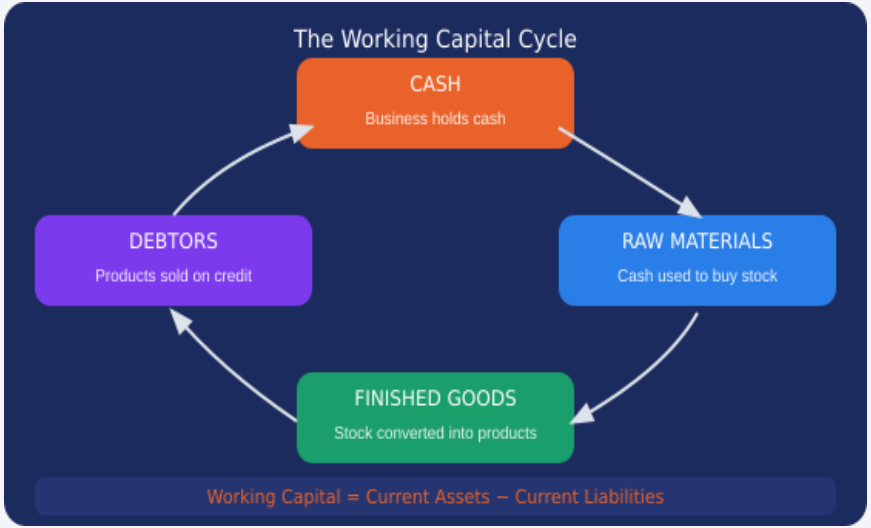
📅 LONG-TERM (over 1 year)

Purpose:	Major investments, expansion, buying non-current assets
Sources:	Bank loan · share capital · venture capital · leasing
Example:	Manufacturer takes 10-year loan to buy new production line
Key point:	Lower monthly cost, repaid over time — matched to asset life

Exam tip: Match the finance to the need. Working capital needs short-term finance. Buying a factory needs long-term finance. NEVER use a 25-year mortgage to pay next month's wages.

Working Capital – The Lifeblood of the Business

Working capital is the money available for the day-to-day running of the business. It is what keeps the business alive between paying its bills and receiving money from customers.



Working Capital = Current Assets – Current Liabilities

Positive working capital

The business can pay its short-term debts — it is liquid and financially healthy

Negative working capital

The business CANNOT pay its bills — it faces a cash flow crisis and may fail

Too much working capital

Cash is sitting idle — should be invested to earn returns rather than sitting in a bank

Worked example — Tesco PLC (simplified):

Current Assets:	Inventory £4.2bn + Trade Receivables £1.1bn + Cash £2.3bn = £7.6bn
Current Liabilities:	Trade Payables £5.8bn + Overdraft £0.4bn + Other £1.1bn = £7.3bn
Working Capital:	£7.6bn − £7.3bn = £0.3bn (positive — Tesco can meet its short-term obligations)

Exam tip: A profitable business can still FAIL if it runs out of working capital. Cash flow is separate from profit — you can be making a profit but unable to pay your wages.

Sources of Finance

Internal · External · Choosing the right one

Sources of Finance – Internal vs External

Finance comes from two places: inside the business (internal) or from outside parties (external). Internal sources are usually cheaper but limited in size.

Sources of Finance — Internal vs External

INTERNAL SOURCES

Owners' Investment
Personal savings put in by the owner/entrepreneur. N

Retained Profit
Profits kept in the business from previous years ins

Sale of Assets
Selling unused machinery, vehicles or property. One-

Working Capital
Managing debtors and creditors more efficiently to f

EXTERNAL SOURCES

Bank Loan
Lump sum borrowed and repaid with interest over time. Pred

Share Capital
Selling shares to investors (Ltd: private, PLC: stock exch

Venture Capital
Investment from specialist firms in high-growth start-ups.

Bank Overdraft
Short-term borrowing up to agreed limit. Flexible — but ex

Trade Credit
Suppliers allow 30–90 days to pay. Free short-term finance

Key distinction: Internal sources involve NO external parties and NO loss of control. External sources may require interest payments, security or giving up equity.

Advantages of Internal Sources

- No interest to pay — free to use
- No loss of ownership or control
- No need to convince external parties
- Immediately available if profit/assets exist

Disadvantages of Internal Sources

- Limited amount available — especially for start-ups
- Using retained profit reduces shareholder dividends
- Selling assets reduces future productive capacity
- May not be enough for large expansion projects

Exam tip: For start-ups, internal finance is often limited (no retained profit, few assets). They usually rely heavily on owner's investment, bank loans or venture capital.

External Sources of Finance – In Detail

External finance comes from parties outside the business. Each source has a different cost, timescale and impact on ownership. Always match the source to the situation.

Source	How it works	Best for	Disadvantage
Bank Loan	Lump sum borrowed, repaid with interest over agreed term (1–25 years)	Large one-off investment e.g. equipment, property	Requires security/collateral · interest cost · rigid repayment
Share Capital	Selling ownership shares to investors (Ltd: private; PLC: stock exchange)	Raising very large sums without debt repayment	Dilutes owner control · dividends expected by shareholders
Venture Capital	Specialist investors provide large sums in exchange for equity stake	High-growth start-ups needing large injection	Takes significant equity + board influence · hard to qualify
Bank Overdraft	Borrow up to agreed limit, repay as cash comes in	Short-term gaps — covering wages, stock purchases	Expensive interest rate · repayable on demand at any time
Leasing	Pay to use an asset (vehicle, machine) without owning it	Avoid large upfront capital outlay on equipment	Never own the asset · total cost exceeds purchase price
Hire Purchase	Pay in instalments and own asset at the end	Equipment that will be kept long-term	Interest cost · asset not owned until final payment made
Trade Credit	Suppliers allow 30–90 days before payment required	Managing short-term cash flow · seasonal businesses	Damages supplier relations if payment consistently late
Crowdfunding	Raise small amounts from large numbers of people online	Creative projects · consumer products with fan bases	Time-consuming · no guarantee of hitting target · very public
Government Grants	Non-repayable cash from government or public bodies	Start-ups, R&D, deprived areas, green tech projects	Competitive · conditions attached · usually small amounts

Exam tip: Overdraft = flexible but expensive. Bank loan = fixed but cheaper for large amounts. Share capital = no repayment but dilutes control. Always justify your choice.

Choosing the Right Source of Finance

The most appropriate source of finance depends on several factors. There is rarely one right answer — you must justify your recommendation based on the specific situation.

Factors to Consider When Choosing a Source of Finance

Size of
Small sole trader cannot issue shares. PLC can raise millions on stock exchange. Legal form limits options.

Amount Required
Small amounts — overdraft or working capital. Large amounts — bank loan, share capital or venture capital.

Length of
Short-term needs — overdraft, trade credit. Long-term investment — bank loan, leasing, share capital.

Cost of
Interest rates, fees and equity given up all have a cost. Retained profit is cheapest — no interest or dilution.

Existing Loans
Too much debt makes new borrowing harder and more expensive. Lenders check debt-to-equity ratio.

Purpose
Match finance to purpose: 25-year mortgage for land, 5-year loan for equipment, overdraft for stock.

Worked recommendations — matching source to situation:

Situation	Best Source	Justification
Sole trader needs £5,000 to cover a short-term stock shortfall	**Bank Overdraft**	Small, short-term need · flexible · sole trader cannot issue shares
Start-up tech company needs £500,000 for product development	**Venture Capital**	Large sum needed · high growth potential · bank unlikely to lend to unproven business
Established PLC wants to fund a major acquisition	**Share Capital**	Very large sum · PLC can issue shares · no interest repayments
Small Ltd company needs a new delivery van for 5 years	**Bank Loan or Leasing**	Medium term · matched to asset life · avoids large upfront payment
New business needs £2,000 for initial marketing campaign	**Owner's Investment**	Very small amount · cheapest option · no interest or equity given up

Exam tip: Always justify using THREE factors: (1) amount needed, (2) legal form of business, (3) how quickly it is needed. A sole trader CANNOT issue shares — this is a very common exam trap.

Key Revision Checklist – 5.1 Business Finance

Why needed	Start-up capital · expansion/growth · replacing assets · new technology · working capital
Working capital	Current Assets – Current Liabilities. Day-to-day cash to pay bills. Positive = healthy. Negative = crisis.
Short-term	Under 1 year: overdraft, trade credit, working capital. For cash flow gaps and day-to-day needs
Long-term	Over 1 year: bank loan, share capital, leasing, hire purchase. For major investment and expansion
Internal sources	Owner's investment, retained profit, sale of assets, working capital. Free but limited in size
Bank loan	Fixed repayment over agreed term. Good for large investment. Requires security. Interest charged.
Share capital	Selling shares. No repayment. Dilutes control. Ltd: private buyers. PLC: stock exchange.
Venture capital	Equity investment in high-growth start-ups. Large sums. Investor takes equity stake and board seat.
Overdraft	Flexible short-term borrowing. Expensive interest. Repayable on demand. Best for cash flow gaps.